Individual Assignment Cover Sheet

MBA 2024/2025

***Note:** This cover sheet should be incorporated within your assignment document and should not be submitted as a separate document.*

Student Blind Grade Numbers (BGNs): 5935N

Assignment Code: MBA54

Name of Course: Macro-Economics

Lecturers for this Coursework: Prof. Michael Kitson

Hand-in date: 23/June/2025

Word Count: 298

Publication that you have sent your letter to: The Guardian

Identify the article or letter in the publication which you are responding to including its date of publication (please do not send the letter to the Financial Times as it is excluded as a target publication):

For individual assignments, I confirm that this piece of work is my own and does not violate the Cambridge Judge Business School's guidelines on plagiarism - see the MBA Programme Handbook & CJBS plagiarism for details.

Letter formatted as Assignment for JBS:

AI financial advice: helpful tool or dangerous shortcut?

An investigation into ChatGPT's financial advice capabilities reveals both promise and peril in AI personal finance (The Guardian, 2025a). While the chatbot provided "decent" pension guidance, its mortgage advice was dismissed as "not even close" to qualified advice, highlighting urgent regulatory concerns.

The Guardian's experts noted ChatGPT's mortgage advice ignored crucial factors like borrower criteria and alternative deal structures. This superficial analysis could lead consumers into inappropriate financial products, given AI's tendency to present incomplete information with unwarranted confidence.

Insurance brokers described responses as "very generic" and failing to account for policy complexities. These limitations become concerning when consumers may not recognise gaps in AI-generated advice.

The risks extend beyond individual consumers. The Bank of England has warned about AI driven market manipulation (The Guardian, 2025b). If AI systems designed for institutional trading can "exploit weaknesses" and trigger market volatility, what safeguards exist for consumer-facing AI?

The Bank of England emphasised that AI tools must operate within existing regulatory frameworks when providing financial guidance (Bank of England, 2024). Yet ChatGPT's pension calculations contained basic errors, including incorrect state pension age information. If millions rely on flawed advice, could we face widespread retirement disasters?

The European Securities and Markets Authority provided guidance emphasising that firms using AI in investment services must maintain appropriate oversight and transparency (European Securities and Markets Authority, 2024). While The Guardian concludes AI serves as a useful starting point, the gap between ChatGPT's confident presentation and expert criticism suggests consumers may not recognise these limitations. Financial authorities must clarify whether AI platforms providing financial guidance require authorisation and mandate clear disclaimers; stakes are too high for "learn as we go" approach.

Notes: The letter was followed by my full name and contact information, but it has been removed since the cover page for this assignment required Student Blind Grade Number. References were included as hyperlinks following the format of published letters in the website of the newspaper. Harvard Style citations are added in the version above to make it consistent with the assignments at JBS. 300 words max. was The Guardian limit. Original Version of the letter sent is shown in the Appendix Section.

References:

Bank of England (2024) *Artificial intelligence in UK financial services - 2024, Bank of England Report.* Available at: https://www.bankofengland.co.uk/report/2024/artificial-intelligence-in-uk-financial-services-2024 (Accessed on: June 15 2025)

European Securities and Markets Authority (2024) ESMA provides guidance to firms using artificial intelligence in investment services, ESMA Press Release. Available at: https://www.esma.europa.eu/press-news/esma-news/esma-provides-guidance-firms-using-artificial-intelligence-investment-services (Accessed on: June 16 2025)

The Guardian (2025a*) Hey AI! Can ChatGPT help you to manage your money?,* The Guardian, 14 June. Available at: https://www.theguardian.com/technology/2025/jun/14/ai-can-chatgpt-manage-money-chatbot (Accessed on: June 15 2025)

The Guardian (2025b) *Bank of England says AI software could create market crisis for profit,* The Guardian, 9 April. Available at: https://www.theguardian.com/business/2025/apr/09/bank-of-england-says-ai-software-could-create-market-crisis-profit (Accessed on: June 15 2025)

Appendix

Letter sent to the Guardian Newspaper:

To: guardian.letters@theguardian.com

AI financial advice: helpful tool or dangerous shortcut?

An investigation into ChatGPT's financial advice capabilities reveals both promise and peril in AI personal finance (Hey AI! Can ChatGPT help you to manage your money?). While the chatbot provided "decent" pension guidance, its mortgage advice was dismissed as "not even close" to qualified advice, highlighting urgent regulatory concerns.

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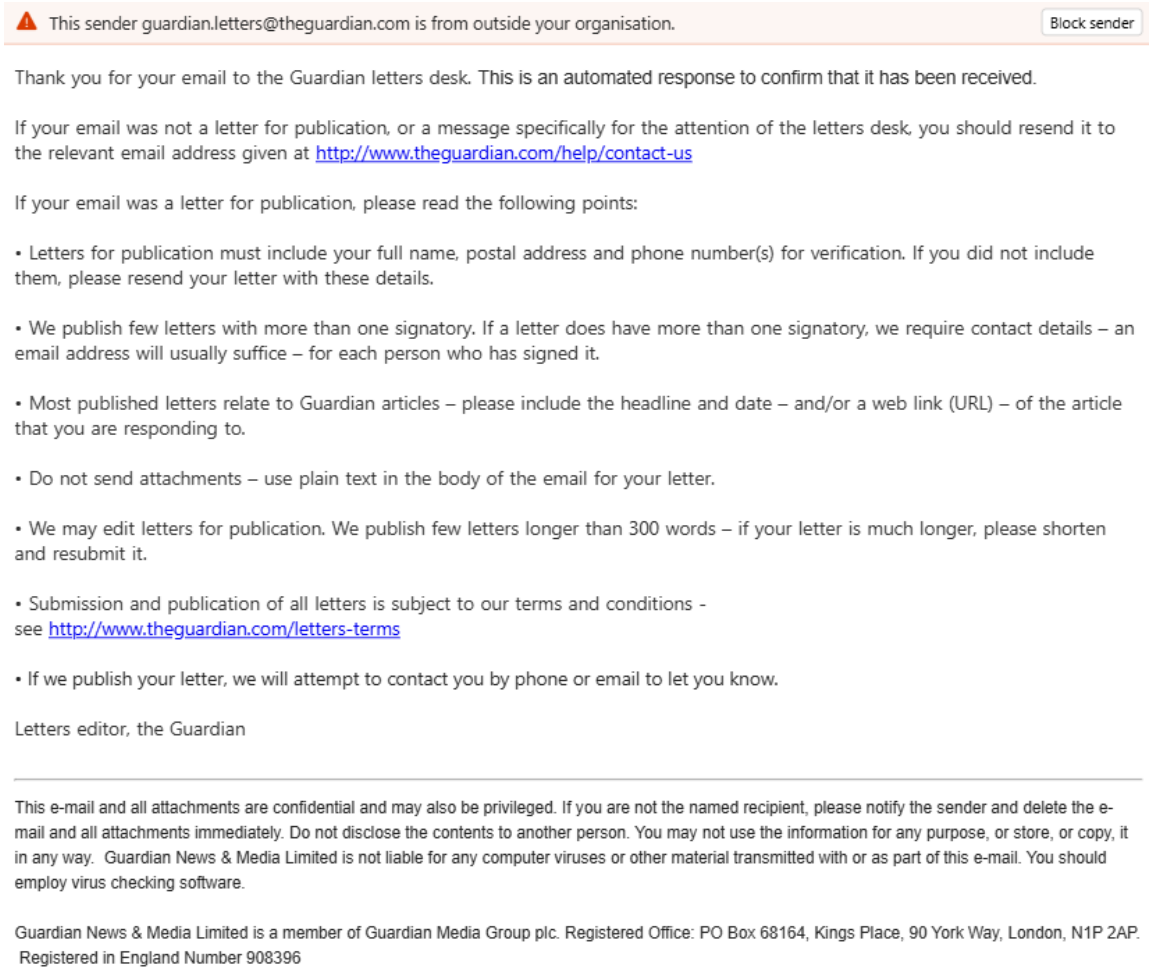
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Appendix

Acknowledgement of Receipt by The Guardian:



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Thank you for your email to the Guardian letters desk. This is an automated response to confirm that it has been received.

If your email was not a letter for publication, or a message specifically for the attention of the letters desk, you should resend it to the relevant email address given at http://www.theguardian.com/help/contact-us

If your email was a letter for publication, please read the following points:

• Letters for publication must include your full name, postal address and phone number(s) for verification. If you did not include them, please resend your letter with these details.

• We publish few letters with more than one signatory. If a letter does have more than one signatory, we require contact details – an email address will usually suffice – for each person who has signed it.

• Most published letters relate to Guardian articles – please include the headline and date – and/or a web link (URL) – of the article that you are responding to.

• Do not send attachments – use plain text in the body of the email for your letter.

• We may edit letters for publication. We publish few letters longer than 300 words – if your letter is much longer, please shorten and resubmit it.

• Submission and publication of all letters is subject to our terms and conditions - see http://www.theguardian.com/letters-terms

• If we publish your letter, we will attempt to contact you by phone or email to let you know.

Letters editor, the Guardian

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